industries'.[21] There are six basic industries which every industrialising economy requires, namely—

(i) Iron and Steel
(ii) Cement
(iii) Coal
(iv) Crude oil
(v) Oil refining and
(vi) Electricity.

[***Note:*** At present, there are eight ***Core Industries*** in India (with the Base: 2004-05=100), six existing *'basic/infrastructure industries'* with two new additions i.e. *Natural Gas* and *Fertilizer*. Core Industries together have a combined weight of 37.90 per cent in the Index of Industrial Production (IIP). Individual percentages of them are – Coal (weight: 4.38%); Crude Oil (weight: 5.22%); Natural Gas (weight: 1.71%); Petroleum refinery (weight: 5.94%); Fertiliser (weight: 1.25%); Steel (weight: 6.68%); Cement (weight: 2.41%); and Electricity (weight: 10.32%).]

Similar to the infrastructure sector, these basic industries also require high level of capital, technology, skilled manpower and articulation in entrepreneurship which was again considered not feasible for the private sector of the time to manage. Even if the private sector supplied goods from the 'basic industries' they might not be able to sell their products in the market due to the lower purchasing power of the consumers. Perhaps, that is why again the responsibility of developing the basic industries was taken up by the government.

Out of the six basic industries the cement sector was having some strength in the private and in iron and steel sector a lone private company was present. The coal sector was controlled by the private sector and crude oil and refining was just a beginning by them. The level of demands of an industrialising India was never to be met by the existing strength of the basic industries. Neither the required level of expansion in them was possible by the existing number of private players. With no choice left, the government decided to play the main role in them. In many of them we as a result, see a natural monopoly for the PSUs, again.